American people had better find out about money -- and quick! "That which people use to pay for things they buy consists of their coin and paper currency in hand and their check deposits in banks. These add up to a certain number of dollars which is what I call the money supply. This is the item usually tabulated in monetary statistics under the caption, 'Total demand deposits adjusted and currency outside banks.' Most people come into possession of some of this money only by selling their competitively acceptable goods or services to others. The supplying of goods and services is their method of acquiring dollars. If that were always true for everybody, America would be rid for always of inflationary booms and their reactionary busts. To the extent that this is not true America has a boom-and-bust money system. "Thus suppose no one could get money to spend except by concurrently selling goods or services. Then it follows that the money each one gets to spend in markets equals the goods or services he supplies to markets. Hence the total of goods and services going to markets is matched by the total money going to markets. There is balance. This is true even if some lend or give their money to others, for the lender takes himself out of the markets to the extent that his loan enables the borrower to enter them. Money would then be a medium of exchange for goods and services -- and that only. It would also meet my personal definition of 'honest' money because each person could then be sure that with the money he got from selling his services or goods he could obtain, over time-spans, equivalent goods and services of others. The buying power of his money could not be taken away from him during the periods he held it; and money contracted to be received in the future would represent buying power over goods approximately equivalent to that currently relinquished in entering into the contract. This would be the kind of money that gold would be in a community in which payments were exclusively made by its physical transfer and the total supply of which could only be increased very slowly, if at all, by its mining." (Italics added) "In this sort of situation the prices and costs of some goods and services in markets could go up while others went down reflecting shifts in customer preferences, inducing corresponding shifts in production. These would be desirable. They would represent the competitive markets efficiently at work, keeping production continuously and closely adjusted to the shifting demands of a nation at work and progressing. Prices in general could even trend gradually downward, reflecting technical achievement in the efficiency of production. "The roots of inflationary boom are public ignorance about or indifference to the meaning of honest money and the means of maintaining it; the fruits of boom are injustice, wasted resources and economic maladjustment while it lasts, and deflationary depression, unemployment and social unrest when it is over." Now it should be obvious that the "physical transfer" of gold is not essential to the establishment of "honest money" as envisaged by Smith. The same objective would be reached if all paper money -- notes and checks -- were made fully representative of gold and kept fully representative of gold at all times. In other words, a deposit banking system in which the total supply of money increased very slowly would provide us with an "honest" money as described by Smith. (We shall have occasion to discuss Smith's views further in the next chapter.) History has shown quite conclusively that credit banking would have died a natural death in its infancy -- had it not been for government protection and the propagation of a mass of illogical theory. The public has become so confused that they now look upon the system as the "spring from which all blessings flow," "the handmaiden of industry and commerce," and "the creator of our modern economic society." In a very real sense, our banking system actually is the creator of modern economic society. Our society could not exist without an adequate supply of money. But our banking system -- because of its inherent instability -- is also the creator of all that goes with our modern economic system: Unemployment, poverty-in-the-midst-of- plenty, and strife between capital and labor. We could have had the same progress without the attendant collapses if we had only been building with a money that would not collapse. We have been using an elastic money -- a money that expands and contracts. Our entire price structure, which is supposed to regulate production, was determined by a supply of money that was very unstable. No wonder free enterprise appears to have failed and is being challenged on the grounds that it cannot regulate